Customer Retention and Recovery Policy — Credit Card Portfolio

Version	Confidentiality	Review Cycle
1.0	Internal Use Only	Quarterly

1 Purpose

To establish guidelines, eligibility criteria, commercial concession limits, and approval workflows for retention and recovery actions targeting credit card customers with a propensity to churn, ensuring financial sustainability, adherence to the institution's risk appetite, and compliance with applicable regulatory and data protection requirements.

2 Scope

This policy applies to:

- All individual customers holding active or recently cancelled credit card products (within 90 days);
- Interactions conducted via digital channels, human support (Tier 1, Tier 2), and automated campaigns;
- Retention, reactivation, and renegotiation offers associated with the credit card portfolio.

3 Definitions

Churn Propensity Score (CPS)	Probabilistic indicator generated by the Retention Engine estimating the likelihood of customer cancellation within a 90-day horizon.
Maximum Intervention Cost (MIC)	Financial ceiling allowed per customer for retention actions.
Top of Wallet Loss	Reduction in card usage frequency relative to other payment methods.
Revolving Balance	Amount financed by the customer after failing to pay the full statement balance.
Retention Offer	Any financial or non-financial incentive granted with the objective of preventing churn.

4 Customer Classification (CPS-Based)

Eligibility for retention actions must follow the tiers below:

< 30%	Low Risk	Low-cost engagement campaigns only	**Not eligible**
30% – 69%	**Moderate Risk**	Engagement increase and value perception	Up to USD 50

≥ 70%	**High Risk**	Active retention and financial restructuring	Up to USD 150

5 Strategy Matrix and Eligible Commercial Conditions

The strategy applied must reflect the primary behavioral driver identified. When multiple factors are present, the highest-expected-impact intervention takes precedence, subject to the MIC.

Strategy A — VIP Shield Program	
Segment	High-value customers
Eligibility Criteria	Total Transaction Value ≥ USD 5,000 over the last 12 months
Diagnosis	Churn risk driven by competitor offers or low benefit perception
Commercial Conditions	• Annual fee waiver for up to 12 months • Category upgrade (Platinum/Black), subject to internal eligibility • Award of up to 10,000 loyalty program points
Engagement Guideline	Communication focused on recognition, exclusivity, and long-term relationship

Strategy B — Soft Landing Program	
Segment	Financially stressed customers
Eligibility Criteria	Revolving Balance ≥ USD 1,000
Diagnosis	Churn risk linked to inability to pay and potential delinquency
Commercial Conditions	• Balance refinancing with rate reduction of up to 60% • Installment plan of up to 24 fixed payments • Preventive credit limit adjustment
Restrictions	• Non-restructuring benefits are strictly prohibited (e.g., points, cashback, fee waivers)
Engagement Guideline	Empathetic communication focused on solutions and financial literacy

Strategy C — Reactivate Program	
Segment	Low-engagement customers
Eligibility Criteria	Transaction volume ≤ 45 over the last 12 months
Diagnosis	Loss of payment priority (Top of Wallet Loss)
Commercial Conditions	• Cashback campaign of up to 5% in defined spending categories • Maximum validity of 90 days
Engagement Guideline	Communication focused on immediate benefit and tangible financial gain

6 Communication Guidelines

- Disclosure of any information related to predictive models, risk classification, or internal decision processes to the customer is strictly prohibited.
- All communications must be clear, concise, and contain no more than three paragraphs, with an explicit call to action (CTA).
- All interactions must be logged in the system for audit and traceability purposes.

Contact Channel Policy (Based on Total Transaction Amount over the last 12 months)

Tier	Segment	Condition	Channel
Tier 1	High Value	USD 5,000 or greater	**Phone Call**
Tier 2	Mid Value	Between USD 2,000 and USD 4,999	**WhatsApp**
Tier 3	Low Value	Strictly under USD 2,000	**In-App Push**

7 Roles and Responsibilities

Customer Success (Tier 1)	Execution of offers within pre-approved limits
Retention (Tier 2)	Handling complex cases and applying combined strategies
Credit Risk	Defining limits, validating policies, and approving exceptions
Compliance	Ensuring regulatory adherence and conducting periodic audits
Products	Defining and updating offered benefits

8 Approval Workflow and Exceptions

- Offers outside the defined parameters must be submitted for approval to Credit Risk.

- Approval SLA: up to 48 business hours.
- Exceptions must be documented with formal justification and estimated financial impact.
- Granting exceptions at the first-level support tier is not permitted.

9 Monitoring and Audit

Mandatory KPIs	Retention rate, cost per retention, post-intervention delinquency
Effectiveness review	Quarterly
Audit	Semi-annual — conducted by Compliance and Risk

10 Regulatory Compliance and Data Protection

All actions must comply with applicable local and international regulations, including:

- Personal data protection
- Transparency in credit offerings
- Responsible lending practices

The use of analytical models must ensure minimum explainability and non-discrimination.